

“And predictably so. We could look for businesses like that. ... Smaller, high-ROE businesses where the growth is relatively straightforward.”

Jason starts his process by screening the market, looking for high-ROE stocks. “If a company has a high ROE for four or five years in a row — and earned it not with leverage but from high profit margins — that’s a great place to start,” he said.

But ROE alone does not suffice. Jason looks for another key element that mixes well for creating multibaggers. “The second piece requires some feel and judgment. It is the capital allocation skills of the management team,” he said. Here he ran through an example.

Say we have a business with \$100 million in equity, and we make a \$20 million profit. That’s a 20 percent ROE. There is no dividend. If we took that \$20 million at the end of the year and just put it in the bank, we’d earn, say, 2 percent interest on that money. But the rest of the business would continue to earn a 20 percent ROE.

“That 20 percent ROE will actually come down to about 17 percent in the first year and then 15 percent as the cash earning a 2 percent return blends in with the business earning a 20 percent return,” Jason said. “So when you see a company that has an ROE of 20 percent year after year, somebody is taking the profit at the end of the year and recycling back in the business so that ROE can stay right where it is.”

A lot of people don’t appreciate how important the ability to reinvest those profits and earn a high ROE is. Jason told me when he talks to management, this is the main thing he wants to talk about: How are you investing the cash the business generates? Forget about your growth profile. Let’s talk about your last five acquisitions!

The ROE doesn’t have to be a straight line. Jason used the example of Schlumberger, an oil-and-gas-services firm. He’ll use what he calls

“through-the-cycle ROE.” If in an off year ROE is 10 percent, and in a good year it’s 30 percent, then that counts as a 20 percent average.

“I’m comfortable buying that kind of stock,” Jason said, “and ideally, I’m buying in an off-year.”

But he has no interest in companies that lose money in a down cycle.

This naturally excludes most mining stocks and many oil and gas stocks, for example.